machines set up in underserved areas, and why central and state governments are paying banks for maintaining and servicing specified accounts. Going forward, narrow targeting of mandates to the truly underserved and explicit payment for fulfilling the mandate so that they are delivered by the most efficient should be the norm.

APPROACH 2: CREATING THE RIGHT INSTITUTIONS

As I argued earlier, the moneylender is particularly effective because he knows the neighbourhood and its people, and can make a good assessment of who is creditworthy. A large national bank with a local branch suffers from two infirmities. First, the branch manager has typically been recruited through an all-India exam, is from a different state, and is not intimately familiar with the local people. While many good branch managers do indeed learn about the community, some do not. The higher socio-economic status of bank officers also creates a distance with the poorer segments of the community, and their high salary makes many branches in remote areas economically unviable even if they could solicit business intelligently. Finally, given that the excluded do not have formal documents, bank managers in large banks with bureaucratic centralized procedures find it hard to provide effective service – how does one convey to head office the rationale for a loan to an intelligent, enthusiastic tribal who wants to set up a small shop, but who has no formal education or track record?

Local financial institutions, with local control and staffed by knowledgeable local people, could be more effective at providing financial services to the excluded. HDFC Bank, for example, has been very successful growing its loan portfolio in Kashmir by recruiting local youth as loan officers. Certainly, this is also the obvious lesson to be drawn from the success of microfinance institutions, who combine their local knowledge with stronger incentives for repayment through peer pressure and frequent collection of repayments. Indeed, this was